

RISK-MITIGATION TOOLS

With rising regulatory scrutiny, promoters must proactively protect Key Managerial Personnel through legal, structural, and cultural safeguards

D&O INSURANCE

► Protects directors and officers against personal liability. Demand for such cover rose 2.5–35% in FY25 as board accountability intensified. D&O Insurance (Directors & Officers Liability Insurance) is a policy that shields leaders personally against legal and financial liabilities—covering defence costs, regulatory fines, or settlements in case of wrongful acts

ROBUST GOVERNANCE

► Independent audit and risk committees, periodic

compliance audits, and engagement of external experts for oversight

CLEAR ROLE BOUNDARIES

► Separate ownership from management, ensuring promoters retain strategic influence while insulating themselves and KMPs from operational risks

FAMILY AGREEMENTS (FOR FAMILY-LED FIRMS)

► Legally binding frameworks to prevent disputes escalating into protracted legal or regulatory battles

EARLY WARNING DASHBOARDS

► Automated alerts for regulatory deadlines and breaches

WHISTLEBLOWER & ESCALATION MECHANISMS

► Channels to surface governance failures early and transparently

REGULAR TRAINING & LEGAL UPDATES

► Keeps KMPs aware of evolving Sebi/Companies Act requirements



change. “The Indian social fabric is becoming more westernised, with younger generations prioritising personal fulfilment, lifestyle, and experiences over legacy obligations.” The mindset, he adds, has moved from ‘building for tomorrow’ to ‘living for today.’ At the same time, businesses themselves have grown far more complex, governed by stricter regulatory oversight, global competition, and investor scrutiny. This makes professional leadership not just a choice but often a necessity.

Building on this, Burman believes succession in Indian family businesses is not a one-size-fits-all story, but a case-by-case evolution. He says some next-gen leaders scale up legacy firms while others pursue start-ups or investments. A similar recognition of changing realities can be seen in the choices of other promoters. Harsh Mariwala exemplifies this shift by prioritising the organisation’s interest, choosing professional leadership over family succession at Marico, opting for Saugata Gupta instead of his son Rishabh as CEO.

Admitting to family unhappiness and social pressure, Mariwala, in a recent media interview, said, “People would ask, ‘How come you didn’t appoint your son?’” Yet he believes the call was right: valuations rose, internal equations improved dramatically over time.

Mariwala said Marico also needed “a new set of thinking” and leadership capable of steering the company into its next phase.

SUCCESSION FRAMEWORK

A well-designed succession framework creates dual continuity—values on one hand, structures on the other.

Lakhotia emphasises codifying a founder’s values in a family constitution and separating ownership, management, and oversight through structured governance. He advocates grooming successors early, setting up advisory boards, and empowering professional CEOs without micromanagement.

Dabur exemplifies this with its Family Council, ensuring strategic alignment and legacy continuity through regular, structured engagement.

Just as important, Lakhotia stresses, is resisting the temptation to micromanage non-family CEOs. “Empower them instead,” he says.

Bhalla, meanwhile, emphasises codification of legacy but goes further in underlining clarity and formalisation. He advocates a board-driven succession framework, overseen by the Nomination & Governance Committee, to ensure transparency and fairness. Founders, he adds,